

Temporary Help Services in the United States

Employment, wages, and demographics from the Census Quarterly Workforce Indicators

Prepared from U.S. Census QWI microdata

September 16, 2026

Outline

- 1 Motivation and data
- 2 National employment
- 3 Seasonality
- 4 Share of the parent sector
- 5 Geographic variation
- 6 Wages
- 7 Turnover and job stability
- 8 Demographics
- 9 Occupational mix
- 10 Within employment services
- 11 Takeaways

Why temporary help services?

- Temporary help agencies (**NAICS 561320**) place workers on their own payroll at client firms. The sector is a bellwether: firms add and shed temps before permanent staff.
- It is also a large, low-wage segment of the labour market and the single biggest piece of *Administrative and Support Services* (NAICS 56).
- Questions addressed in this analysis:
 - 1 How has national temp employment moved across the 2008–09 recession, the 2010s expansion, and the pandemic?
 - 2 How large is temp help *relative to* its parent sector?
 - 3 How do temp wages compare with the sector and with all private employment — and is the gap changing?
 - 4 Who works in the sector (sex, age)?

Data and method

Source. Census *Quarterly Workforce Indicators* (QWI), LEHD program, via the API endpoint `timeseries/qwi/sa`. Quarterly. QWI publishes no seasonally-adjusted series (confirmed against both the API and the raw bulk files); employment-level charts here use a self-computed approximation instead (see *Seasonality*).

Geography. State-level counts for the 50 states + DC, summed to a national total. Earnings are *employment-weighted* across states.

Coverage. 2005–2024 where available; the temp-help series is complete from 2005. Suppressed cells (flags N/D/S) are dropped.

Also. Race / ethnicity from QWI's `rh` dataset; the occupational mix from BLS *OEWS* (May 2025).

Industries compared

561320	Temporary Help Services
56	Admin. & Support Services
00	Total private sector
561311	Employment Placement
561312	Executive Search
561330	Prof. Employer Orgs (PEO)

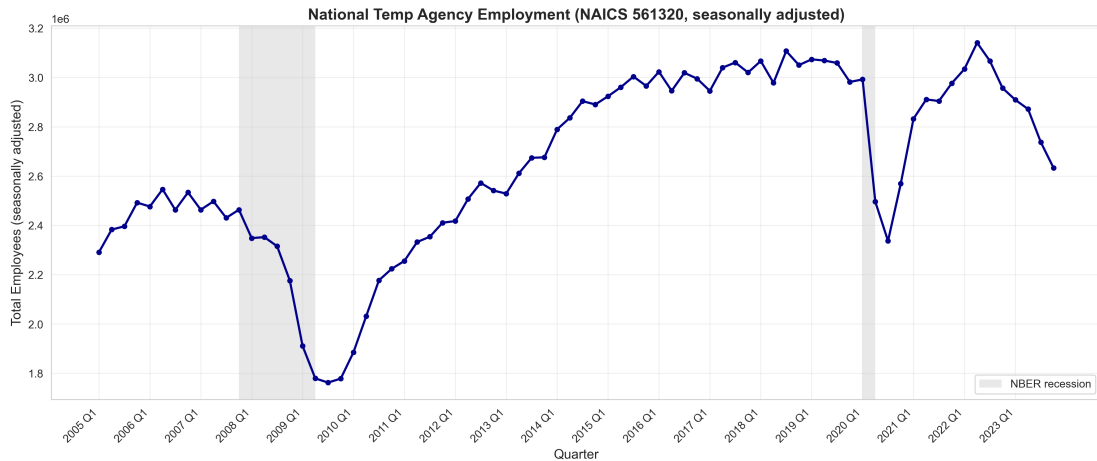
Key measures

Emp — beginning-of-quarter employment

EarnS — avg. monthly earnings, full-quarter workers

EarnHirAS — avg. monthly earnings, new hires

National temp employment, 2005–2023

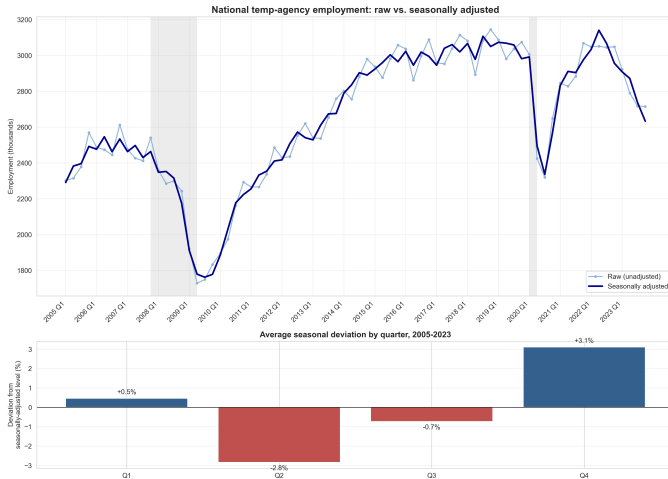


Source: QWI NAICS 561320, sum of 50 states + DC. Seasonally adjusted (self-computed — QWI has no official SA series; see *Seasonality*).

National temp employment — what the series shows

- **Great Recession:** fell from 2.53 million (2006 Q4) to 1.78 million (2009 Q2), a drop of about **30%** — far deeper than the total-employment decline.
- **2010s expansion:** steady recovery; the prior peak was surpassed by 2014 and employment reached about 3.11 **million** (2018 Q3).
- **Pandemic:** 2.99 million (2020 Q1) → 2.34 million (2020 Q3), **−22%** in two quarters, then a rapid rebound to an all-time high of 3.14 **million** (2022 Q2).
- **2023 slowdown:** down about **16%** from that peak to 2.63 million by 2023 Q4 — back to 2013 levels, and consistent with temp help leading the broader labour-market cycle.
- Seasonally adjusted throughout (see *Seasonality*, below) — the raw series has a strong Q4 high / Q2 low every year.

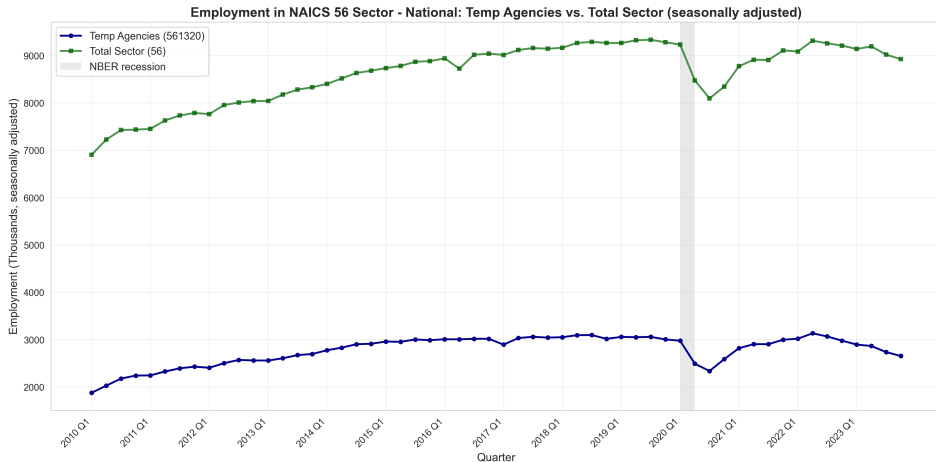
Why seasonally adjusted — and how



Seasonality — how we approximate it

- QWI has no official seasonally-adjusted series — we checked both the API (`seasonadj` returns data only for U, Unadjusted) and the raw bulk release files (same result).
- Every employment-level chart in this deck instead uses a self-computed approximation: classical multiplicative seasonal decomposition (`statsmodels.seasonal_decompose`, period 4) fit to each series, dividing out the repeating quarterly pattern.
- The pattern is consistent and large: national temp employment runs **+3.1%** above trend in Q4 (holiday-quarter staffing) and **-2.8%** below trend in Q2.
- Ratios (temp's % share of NAICS 56, turnover rates) are left on the raw QWI values — seasonality in the numerator and denominator largely cancels there.
- This is an approximation, not an official series; treat exact turning-point quarters and small quarter-to-quarter moves with appropriate caution.

Temp help as a share of Administrative & Support Services (NAICS 56)



Source: QWI: NAICS 561320 vs. NAICS 56 employment, national, seasonally adjusted (self-computed). The share (%) table opposite uses the raw ratio.

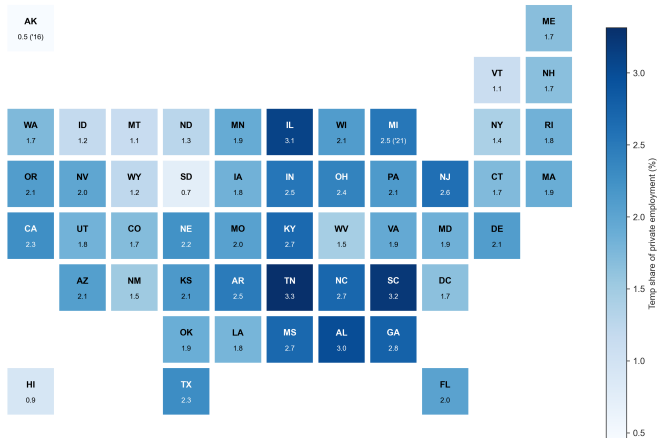
Share of NAICS 56 — roughly one-third, and cyclical

Year	Temp share of NAICS 56 (%)
2010	28.7
2013	32.1
2015	33.8
2019	32.7
2020	30.4
2022	33.1
2023	30.7

- Temp help is consistently **28–34%** of all Administrative & Support Services employment.
- The share *rose* through the early 2010s recovery, then flattened near one-third.
- It falls in downturns (2020, 2023): temp jobs are cut first, so the sub-sector shrinks faster than its parent.

Where temp work concentrates

Temporary help services as a share of total private employment, by state (2023)



Range 0.5%-3.3%, median 1.9%. Grey = no QWI data in 2010-2023. A year tag (e.g. '16) marks a state whose latest available year is not 2023 (MI left QWI after 2021; AK after 2016).

Penetration by state — a Southeastern / industrial-belt story

Highest, 2023

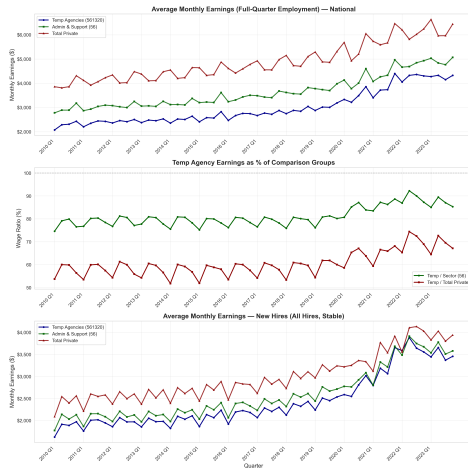
Tennessee	3.3
South Carolina	3.2
Illinois	3.1
Alabama	3.0
Georgia	2.8

Lowest, 2023

South Dakota	0.7
Hawaii	0.9
Vermont	1.1

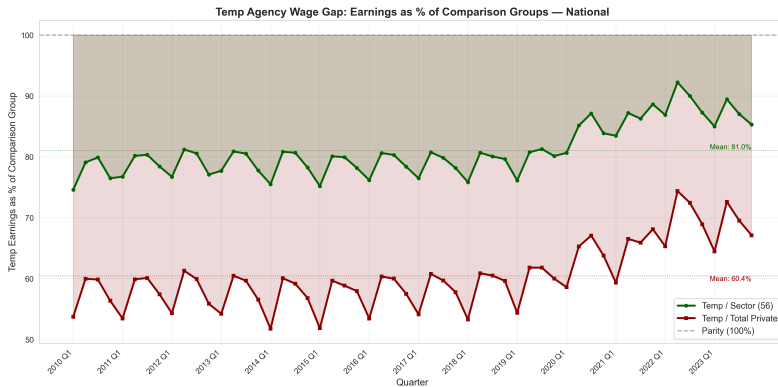
- Temp help is **2.2%** of private employment nationally, but ranges roughly **5-fold** across 2023 states — 0.7% to 3.3%.
- The high-penetration cluster is the Southeast and lower Midwest (TN, SC, AL, GA, NC, KY, IN, OH) — auto, appliance, food-processing and warehousing supply chains that staff heavily through agencies.
- Penetration rose in **most states** from 2010 to 2023 (e.g. MS +0.7, NE +1.0 pp).
- MI (shown at 2021) and AK (2016) have since stopped reporting to QWI; AK's 2016 penetration, **0.5%**, was already the lowest in the country.

Earnings: temp agencies vs. sector vs. all private



Source: QWI EarnS / EarnHirAS, employment-weighted national averages, 2010–2023.

The temp wage gap — large, but narrowing



Source: Temp EarnS as a percentage of the comparison group; dotted lines are period means.

Wages — key numbers

Average monthly earnings (EarnS)

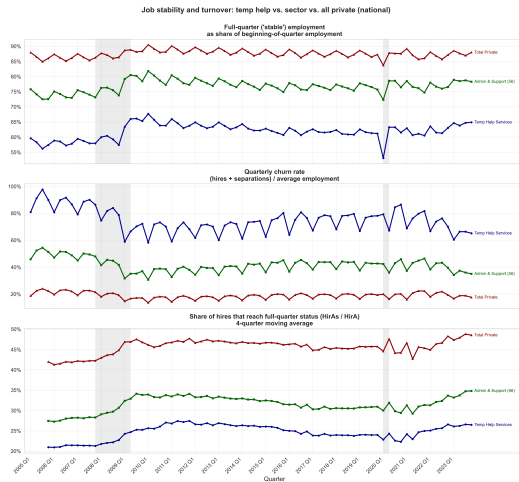
Year	Temp	NAICS 56	Private
2010	2274	2934	3960
2015	2594	3311	4550
2019	3022	3797	5087
2022	4261	4783	6071
2023	4269	4926	6250

Temp earnings as % of ...

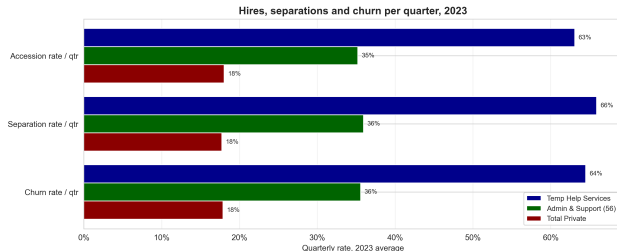
Year	NAICS 56	Private
2010	78	57
2019	80	59
2023	87	68

- Period averages (2010–23): **81%** of the sector, **60%** of all private.
- The gap narrowed most in **2020–2022**, when a tight labour market bid up temp pay.
- For *new hires*, temp pay is much closer to parity — $\approx 97\%$ of sector, 89% of private in 2023.

How transient is temp work?



Turnover — temp workers churn about 3.5× the economy-wide rate

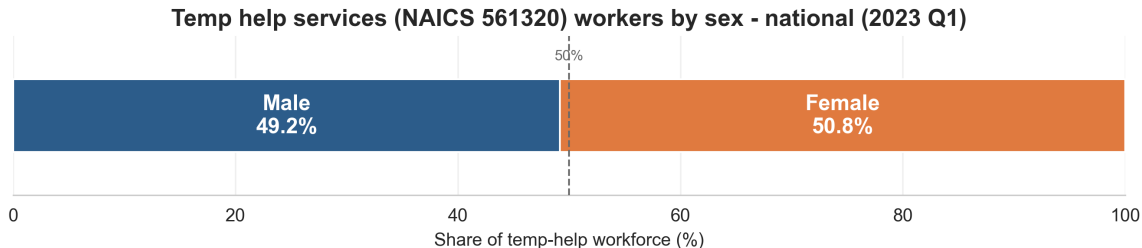


2023, per quarter (%):

	Temp	N.56	Priv.
Stable emp. share	64	79	88
Churn rate	64	36	18
Stable-hire share	26	35	49

- Agencies make hires equal to $\approx 2.5\times$ their headcount each year; only **a quarter** of those hires last a full quarter.
- Churn *drops* in recessions (2009, 2020): the loosely-attached are let go first, so who remains is more stable.
- The stable-hire share *fell* through the 2010s — temp jobs became a bit more spot-market, not less.

Who works in temp help? — Sex (2023 Q1, national)



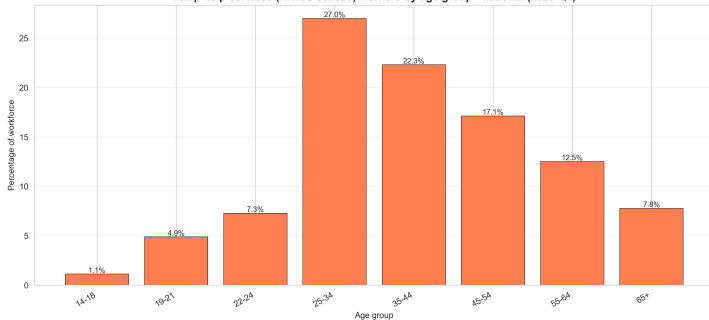
Sum of 49 reporting states; suppressed cells excluded.

- Male **49.2%** / Female **50.8%** — essentially even.
- Close to the overall private-sector split, unlike the male-dominated image of light-industrial staffing.

Source: QWI NAICS 561320, sex breakdown, 49 states with unsuppressed data.

Who works in temp help? — Age (2023 Q1, national)

Temp help services (NAICS 561320) workers by age group - national (2023 Q1)

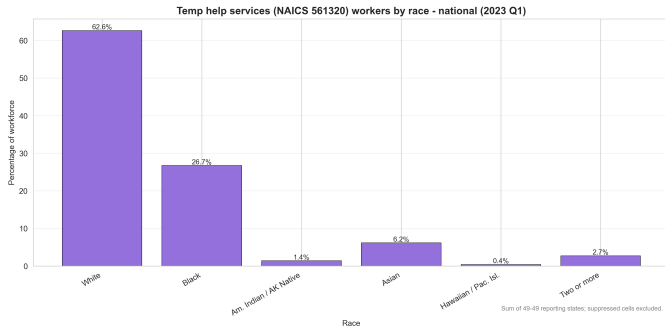


Sum of 49-49 reporting states; suppressed cells excluded.

Age	%
14-24	13.3
25-34	27.0
35-44	22.3
45-54	17.1
55+	20.3

- About **two-thirds** are prime-age 25-54.
- Younger than the workforce overall, but not a youth sector — one in five workers is 55+.

Who works in temp help? — Race and ethnicity (2023 Q1, national)

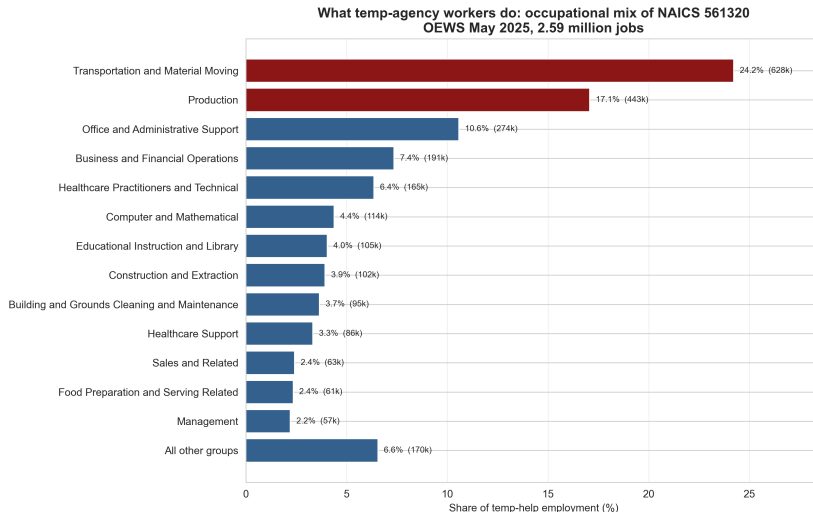


Group	% of temp help
White	62.6
Black	26.7
Asian	6.2
Other / two+	4.5
Hispanic (any race)	21.1

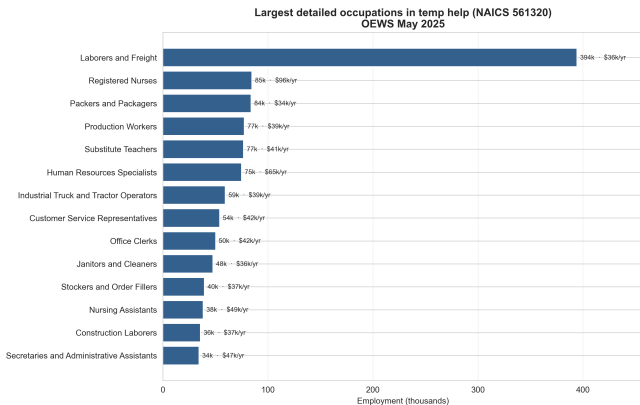
- **Black workers are $\approx 27\%$ of temp help** — about **twice** their $\approx 13\%$ share of US employment overall.
- **Hispanic workers are $\approx 21\%$, a smaller over-index.**
- Consistent with the sector's concentration in warehousing, food-processing and light manufacturing.

Source: QWI rh dataset, NAICS 561320, 49 reporting states. Race and Hispanic ethnicity are tabulated separately.

What temp-agency workers actually do



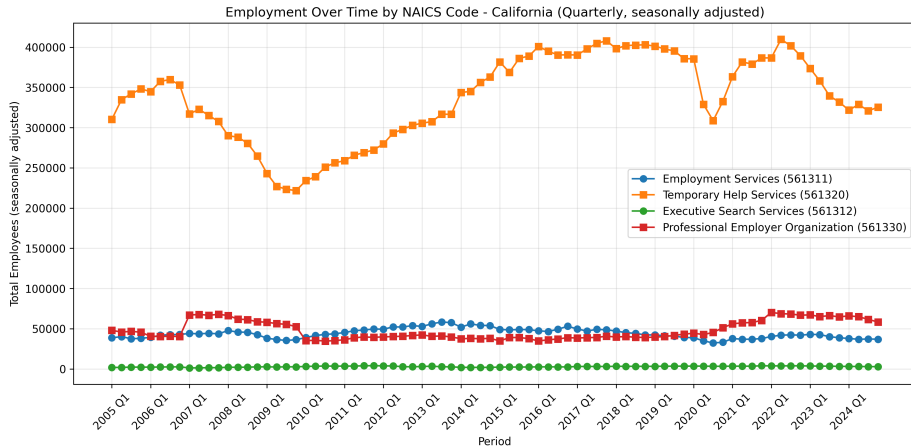
Occupational mix — warehouse and factory labour, then everything else



- **Half** of temp-help jobs are blue-collar: transportation & material moving (24%) plus production (17%) alone are **41%**.
- One occupation — **hand laborers / freight & material movers** — is **15%** of the entire sector (394k jobs).
- But the sector is genuinely mixed: registered nurses (85k), substitute teachers (77k), HR specialists (75k), software developers (26k).
- The two largest groups are also the **lowest-paid** ($\approx$ \$37k mean vs. the \$54k all-occupation mean) — the mix, not just the "temp" label, drags sector pay down.

Source: BLS OEWS, NAICS 561320, May 2025. OEWS annual wage assumes full-year work.

Employment-services sub-sectors (California, 2005–2024)



Source: QWI NAICS 561311/561320/561312/561330, California, seasonally adjusted (self-computed).

Employment services — temp help dominates

- In California, **561320 (temp help)** runs roughly **3–5×** the size of the rest of employment services combined — about 310k jobs in 2005, an all-time peak of 410k (2022 Q2), then a fall to 325k by 2024.
- **561330 (PEOs)** grew from $\approx 48\text{k}$ to $\approx 58\text{k}$, with a step-up after 2021.
- **561311 (employment placement)** is flat near 44k; **561312 (executive search)** is tiny ($\approx 3\text{k}$).
- The single-state script (`temp_agencies_over_time.py`) tracks the same California 561320 series, mirroring the national pattern: -38% in 2008–09, the same 2022 Q2 all-time peak, the 2020 dip, and a slide from 410k (2022) toward 325k (2024).

Takeaways

- 1 **Amplified cycle.** Temp employment swings far more than total employment — −30% in 2008–09, −22% in early 2020, and a 16% decline from the 2022 peak through 2023 that led the broader slowdown.
- 2 **Stable structural weight.** Despite the swings, temp help holds near **one-third** of Administrative & Support Services.
- 3 **Persistent but shrinking wage gap.** Temp workers earn about **80%** of sector pay and **60%** of all-private pay on average; both ratios rose markedly in 2020–2022 and remained higher through 2023. New-hire pay is close to parity.
- 4 **Very short attachment.** Quarterly churn near **65%** (vs. 18% economy-wide) and only a quarter of temp hires last a full quarter — the defining feature of the sector.
- 5 **Concentrated geographically.** A **5-fold** spread across states, highest in the Southeast / industrial belt where supply chains staff through agencies.
- 6 **Blue-collar core.** Half the jobs are warehouse / material-moving and production work — and those two groups are also the lowest-paid, which is much of why the sector's wages sit low.
- 7 **Distinctive workforce.** Roughly even by sex and prime-aged, but **Black workers are about twice as prevalent** as in the economy overall (27% vs. 13%); Hispanic workers modestly so.

Caveats

- QWI is a by-product of state UI records; small state $\times$ quarter $\times$ demographic cells are suppressed, so demographic totals rest on 48–49 states, not all 51 jurisdictions.
- Employment-level charts are seasonally adjusted with a self-computed approximation, not an official series (see *Seasonality*); wage, turnover, and share ratios remain on raw QWI values, where seasonality in the numerator and denominator largely cancels.
- “Employment” is a count of jobs (beginning-of-quarter), not full-time-equivalents; temp assignments are short, so headcount overstates labour input relative to other sectors.
- Education is published only on the QWI se dataset for the 25+ restriction, and every state-level cell for NAICS 561320 is suppressed — so no education breakdown is possible.
- **Michigan** left QWI after 2021 and **Alaska** after 2016; the state map falls back to each state’s last available year and tags the tile accordingly.
- OEWS is a separate survey (establishment-reported, annual) and is not in the BLS API — the 561320 table was taken from the OEWS query system. Its “annual wage” assumes full-year work.
- California is used for the sub-sector and single-state views; national patterns may differ.

Thank you

Code and figures: `code/` and `output/` in the `Temp_agencies` repository.